

Executive Summary

Project Objective

The objective of this project is to evaluate DataCo's commercial distribution performance by analyzing sales, profit, customers, products, operations, logistics, pricing, and geographic markets. The analysis aims to identify the key business drivers, uncover operational challenges, and provide data-driven recommendations that support better commercial decision-making.

Main Business Question

How can DataCo improve its commercial performance by understanding the factors that drive sales, profit, customer purchasing behavior, product performance, logistics efficiency, and geographic performance?

Key Findings

Overall Business Performance

Between January 2015 and January 2018, DataCo processed 65,752 orders from 20,652 customers across 164 countries and five global markets.

During this period the company generated:

- \$36.78 million in total sales
- \$3.97 million in total profit
- 10.78% profit margin
- Average order value: \$559
- Average customer spending: \$1,781

Although the business remained profitable overall, 21.15% of all orders generated a financial loss, indicating that a considerable portion of transactions reduced overall business performance.

Product Performance

Sales and profit were highly concentrated within a limited number of products and categories.

The Fishing category generated approximately 19% of both total sales and total profit, making it the strongest-performing category across every market.

Similarly, the Fan Shop department accounted for nearly 47% of company sales and profit, indicating heavy dependence on a single department.

Customer Performance

The Consumer segment represented the largest customer group, contributing approximately:

- 52% of orders
- 52% of sales
- 52% of total profit

However, purchasing behavior remained very similar across Consumer, Corporate, and Home Office customers, with only minor differences in average order value, basket size, purchasing frequency, and customer spending.

Geographic Performance

Business activity was concentrated within three major markets.

Europe generated the highest contribution, accounting for:

- 29.6% of total sales
- 29.5% of total profit

LATAM and Pacific Asia ranked second and third, while the United States generated the highest sales and profit at the country level.

Across every market, Fishing remained the leading product category by both sales and profit.

Logistics Performance

Logistics represents the project's most significant operational concern.

Key findings include:

- 60% of all orders were shipped using Standard Class.
- 54.8% of orders were delivered late.

- Only 17.8% were delivered on time.

Delivery delays occurred across all shipping modes, including premium services, suggesting broader fulfillment or operational issues rather than problems limited to a specific shipping option.

Order Operations

Only 33% of customer orders reached Complete status.

Meanwhile, almost one-third of all orders remained in pending or processing stages, indicating opportunities to improve operational efficiency throughout the order lifecycle.

Although cancellations accounted for only 2% of orders, reducing processing delays could improve customer experience and order completion.

Pricing Strategy

Discounting plays an important role in DataCo's commercial strategy.

Orders with low (1–10%) and medium (11–20%) discounts generated approximately:

- 83% of total sales
- 84% of total profit

Average discount rates remained close to 10% across all markets and product categories, suggesting a standardized pricing strategy.

Business Trends

Sales, profit, and order volumes remained relatively stable throughout 2015–2017, with monthly sales consistently around \$1 million.

The decline observed during late 2017 and January 2018 reflects the end of the available dataset rather than confirmed deterioration in business performance.

Recommendations

1. Improve delivery performance

With more than half of customer orders delivered late, improving warehouse operations, inventory coordination, and carrier performance should be the company's highest operational priority.

2. Reduce dependence on a limited number of products

Fishing products and the Fan Shop department generate nearly half of company revenue and profit. Expanding sales across additional product categories would reduce commercial risk and strengthen business resilience.

3. Investigate loss-making orders

Although the company is profitable overall, 21.15% of orders generate losses. These transactions should be analyzed to determine whether discounts, shipping costs, product mix, or destination markets are driving negative results.

4. Prioritize high-performing markets

Europe, LATAM, and Pacific Asia consistently generate the largest contributions to sales and profit. Marketing, inventory allocation, and commercial investments should continue focusing on these regions while developing growth strategies for lower-performing markets.

5. Maintain the current discount strategy

Moderate discount levels generate the majority of both sales and profit. Rather than increasing discounts, DataCo should continue focusing on controlled promotional pricing while monitoring its impact on profit margins.

6. Improve order processing efficiency

A considerable share of orders remains pending or processing. Streamlining order fulfillment and reducing processing times can improve customer satisfaction, increase completed orders, and accelerate revenue realization.

Conclusion

This analysis shows that DataCo operates a stable and profitable global commercial distribution business with strong international market coverage.

However, the business relies heavily on a limited number of products, departments, and markets while facing operational challenges related to delivery delays, loss-making orders, and order processing. Addressing these operational issues while strengthening successful markets and maintaining effective pricing practices would support stronger commercial performance and more sustainable business growth.